

a float-adjusted, capitalization-weighted index of 24 developed markets and 21 emerging markets. U.S. stocks make up 45% of the MSCI ACWI, other developed markets make up another 45%, and emerging markets comprise the remaining 10%. We will use the MSCI World Index (MSCI World) prior to when the MSCI ACWI became available in January 1988. MSCI World does not include emerging markets. MSCI did not track these until the start of the MSCI ACWI in 1988. From now on, when we refer to ACWI, we mean MSCI ACWI from 1988 onward and MSCI World prior to 1988. We will separate our ACWI into two roughly equal parts: the S&P 500 Index for U.S. stocks and the ACWI ex-U.S. for the rest of the world.

Table 8.2 shows the 40-year performance of the ACWI, ACWI ex-U.S., and the S&P 500 from 1974 through 2013. We see that non-U.S. stocks (ACWI ex-U.S.) and the index of both U.S. and non-U.S. stocks (ACWI) have a significantly lower return than just U.S. stocks. This is in line with what we know about the higher long-run risk premium of the U.S. stock market.

Table 8.2 ACWI, ACWI ex-U.S., and S&P 500, 1974–2013

	Annual Return	Annual Std Dev	Annual Sharpe	Maximum Drawdown	% Profit Months
ACWI	8.85	15.56	0.22	−60.21	61
ACWI ex-U.S.	8.51	17.65	0.17	−64.10	60
S&P 500	12.34	15.59	0.42	−50.95	62

We will next apply relative strength momentum to the S&P 500 and ACWI ex-U.S. components of the ACWI. (Results are nearly identical using a broader based index for U.S. stocks, such as the Russell 3000 or the MSCI US Broad Market Index.) We use the large-cap S&P 500 to be consistent with the types of stocks selected in the non-U.S. portion of the ACWI.

RELATIVE VERSUS ABSOLUTE MOMENTUM